Households made investments in physical assets of about Rs 21.8 lakh crore in 2018–19. These assets primarily comprised property and included consumer durable assets. Savings in gold, shown separately in the National Accounts, amounted to Rs 0.36 lakh crore in 2018–19.

Gross household savings in all three principal modes—financial savings, savings in physical assets and gold—amounted to Rs 42.1 lakh crore or about 22.4 per cent of GNI.

Households did not finance all their financial savings and investments from their incomes. They also borrowed. Total incremental borrowings of households in 2018–19 amounted to Rs 7.66 lakh crore. Net of financial borrowings, financial savings were Rs 12.3 lakh crore. Net of financial borrowings, gross household savings (financial savings, investment in physical assets and gold) were Rs 34.5 lakh crore, or 18.4 per cent.

The household savings deployment pattern of 2018–19 is representative of the long-term savings deployment pattern in India, though there are significant variations with respect to certain asset classes from year to year. In 2016–17, when the government carried out a large-scale demonetization exercise, households shed currency of Rs 3.33 lakh crore instead of the usual additional deployment. The subsequent two years saw remonetization, which was reflected in a higher than trend yearly deployment of savings in currency. The shrinking of currency held by the public was reflected in a much higher deployment in bank deposits, insurance funds and shares and debentures.

Global Savings Rate Constant at around 25 Per Cent for the Past Fifty Years

In 2020, the Asian Development Bank (ADB) published an excellent report, *Asia's Journey to Prosperity*. Table 7.2 summarizes the global savings phenomenon for the period 1960–2018. The global gross domestic savings rate was 26 per cent between 1970 and 1979. This declined marginally to